Definition of Accounting:

Accounting is an information system that tells us how well a buisness is ~~a~~ performing in terms of profits and losses and where it stands in financial terms.

History & Development of Accounting:

The name that looms largest in early accounting history is Luca Pacioli, who in 1494 first described the system of double-entry book keeping used by venetian merchants in his "Summa de Arithmetica, Geometria Proportioni et Proportionalita."

Users of Accounting Information:

In general, Users of accounting information fall into three categories

1. Internal managers: who use the information for short term planning and controlling routine operation
2. Internal managers: who use the information for

making nonroutine decisions and formulating overall policies and long range plans.

3. External parties, such as.

- Investors
- Lenders
- Suppliers and other trade creditors
- Customers
- Government and their agencies
- Taxing authorities
- Public
- Nonprofit organization.

Braches of Accounting:

1. Financial accounting:

financial accounting focuses on the information needs for external user of an entity.

~~2. Internal managers: who use the information for making non~~

2. Management accounting: Managment accounting is primarily concerned with the information used for inter

nal management decisions making within the entity.

Accounting concept and principles:

Assumption	Principles	Constrains
1. Economic entity	1. Historical cost	1. Cost benefit
2. Going concern	2. Revenue recognition	2. Materiality
3. Monetary unit	3. Matching	3. Industry practice
4. Periodicity	4. Full discloser	4. Conservation

Principles:

1. Historical cost: Existing GAAP requires that most asset and liabilities be accounted for and reported on the basis of acquisition price.

2. Revenue & recognition:

Revenue is generally recognized when realized or realizable and when earned.

3. Matching:

Expenses are recognized when the work (service) or the product actually makes its contribution to revenue.

4. Full discloser:

Accountants follow the general practice of providing information that is of sufficient importance to influence the judgment and decisions of an informed herr.

Accounting Equation:

The most basic tool of the accountant is the accounting equation. This equation represents the assets of the buisness and the claims to those assets, liabilities and owner's equity can be expressed as an equation follow's:

Assets = Liabilities + Owner's Equality

Assets are the economic resources of a buisness that are expected to be of benefit in the future.

- Cash
- Land
- Building
- Equipmement
- Machine
- Furniture
- Office supplies
- Accounts Receivable
- Notes Receivable
- Prepaid Expense

Liabilities are 'outsider claims' which are economic obligations debtes payable to outsiders. These outsider parties are called creditors.

- Accounts payable
- Notes Payable

Owner's equity or capital is 'insider claims' held by owners of the buisness. Owner's equity is measured by subtracting liabilities from creditors.

- Capital
- Revenue
- Expenses

Assets must be equal to the sum of liabilities and owners of the buisness.

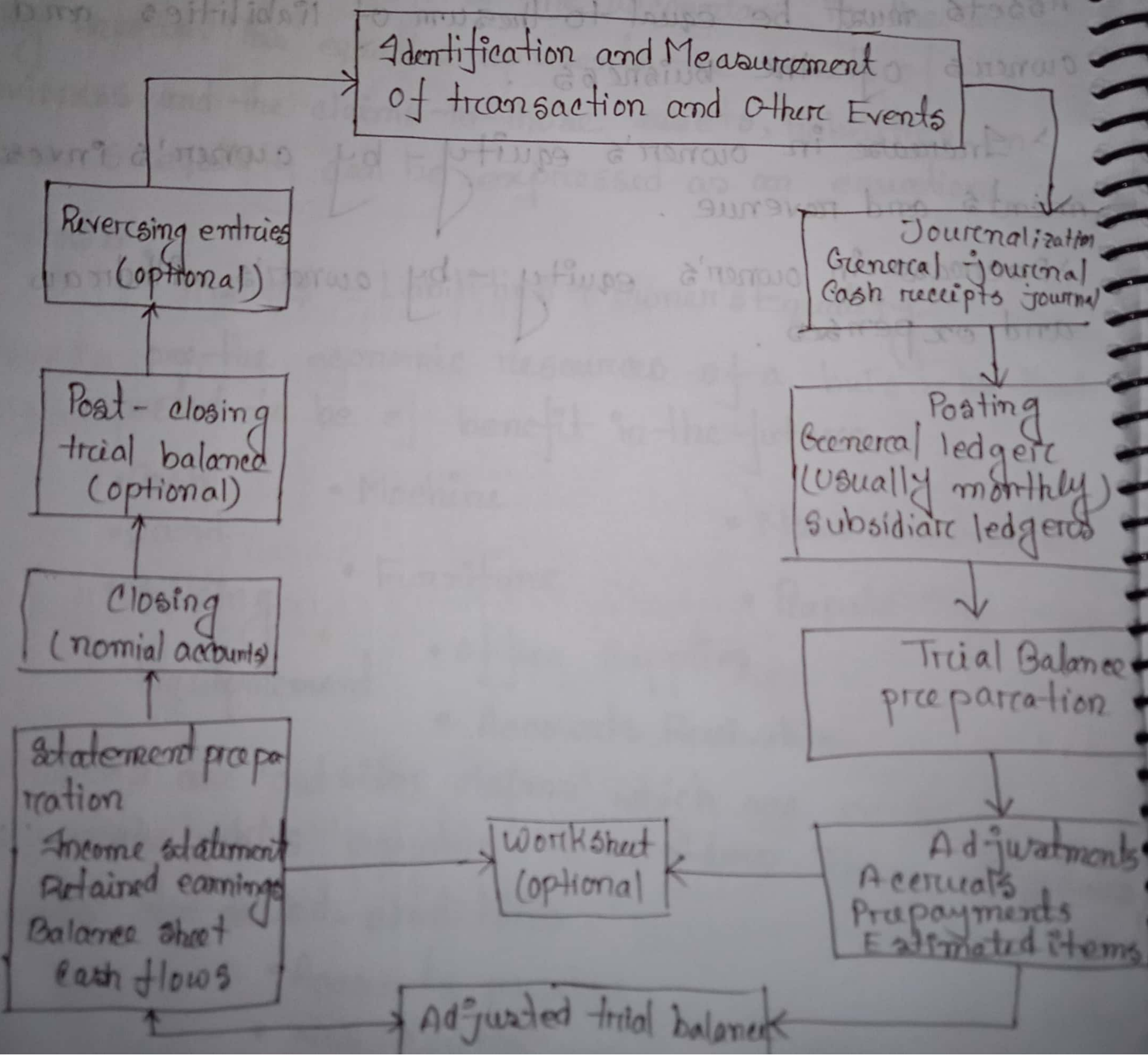
> Increase in owner's equity - by owner's investments and revenue.

> Decrease in owner's equity - by owner's withdraw and expenses.

Chapter-2

Introduction to Financial statements: Accounting Equation & Transaction Analysis

□ The accounting cycle:



Math 1:

I) Livon invested $ 590.00 cash in the buisness.

II) Paid $ 40,000 cash for Land.

III) Purchased $ 500 of office supplies on account

IV) Received $ 5500 cash from clients for accounting service revenue earned.

V) Performed accounting service for a client on account $ 3000

VI) Paid cash expenses: rent $ 1,100; Employee salary: $1200 utilities: $ 400

VII) Paid $400 on the account payable created in transaction - 3.

VIII) Remodeled his personal residence. (This is not a buisness transaction)

IX) Received $1000 on the account receivable created in transaction 5.

X) Sold land for cash equal to its cost of $ 22000

XI) withdraw $2100 cash for personal living expenses.

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Transaction Analysis

Date	Description	Assets				Liabilities & Owner's Equity	
		cash	Accounts receiable	office supplies	Land	Account payable	capital
1.	Investment	50,000					50,000
2.	Paid for land	-40.000			+40.000		
3.	Purchased $ 500 of Office supplies			+500		+500	
4.	Service Revenue for cash	+5500					+5500
5.	Service Revenue on account		+3000				+3000
6.	Rent exp. Salary exp. Utilities exp.	-1100 -1200 - 400					-1100 -1200 - 400
7.	Paid on account	-400				-400	
8.	Not a buisness-transaction						
9.	Received on account	+1000	-1000				
10.	Sold land for cash	+22000			-22000		
11.	Withdrawal	-2100					-2100
	Total	333000	2000	500	18000	100	53,700
		53,800				53,800	

Financial statements:

- Income statements
- Owner's Equity statements
- Balance Sheet.

Owner's equity

i) Investment

ii) Revenue

iii) withdrawal

iv) Capital

Income Statement

For the month/year ended on.......

Description	Amount	Amount
Revenues		
Service Rev. (cash)	5500	8500
" " on Account	3000	
(-) Expense :		
Rent	1100	2700
Salary	1200	
Utilities	400	
Net profit		5800

Owner's Equity Statement

For the month/year ended 31st Dece. 2023

Description	Amount
Beginning capital	—
+ Investment	50,000
+ Net profit	5800
- withdrawal	2100
	53700

Balance Sheet
As on December 31st, 2023

Assets	Amount	Amount	Liabilities & Owner's equity	Amount	Amount
Current assets			Liabilities		
Cash	33300		(Acc. payable)		100
Office supplies	500				
Account receive	2000		Owner's equity		53700
Fixed Assets		35800			
Land		18000			
Total		53800	Total		53800

Math-2:

Shanta Reed owns and operates an interior design studio called "Shanta Interiours". The following amounts summarized the financial position of her buisness on March 31, 2007.

Assets				= Liabilities + Owner's Equity	
Cash +	A/R +	Supplies +	Land	= A/P +	Shanta's capital
Bal. 1250	1500		12000	8000	6750

During April 2007, the following transactions occurred:

a) Shanta invested $ 15,000 in the buisness.

b) Performed services for a client and received cash of $ 800

c) Paid off the beginning balanced of Account Payable

d) Purchased supplies on account $500

e) Collected cash from a client on account $1000

f) Consulted on the interior design of a major office building and billed the client for the service rendered $ 2500

g) Recorded the following buisness expenses for the month:

i) Paid office rent — $400

ii) Paid advertising ———— $300

iii) Paid utilities ———— $300

h) Sold supplies to another buisness for $ 150 cash, which was the cost of the supplies.

i) Purchased ~~cash~~ of a Land for $ 8000; cash paid $ 3000 and the balance will be paid in the next month.

j) withdraw cash of $1500 for personal use

Analyze the effects of the above transactions on the accounting equation.

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Date	Description	Assets				Liabilities & Owner's equity	
		Cash	A/R	Supplies	Land	A/P	Capital
	Beginning Balance	1250	1500	–	12000	8000	5750
a.	Investment	15000	-	–	–	–	+15000
b.	Service Revenue for cash	+800	–	–	–	–	+800
c.	Paid off account payable	-8000	–	–	–	-8000	–
d.	Purchased supplies on account	–	–	+500	–	+500	–
e.	Collected on account	+1000	-1000	–	–	–	–
f.	Service on account	–	+2500	–	–	–	+2500
g.	Rent Exp.	-1000					-400
	Advert. Exp.						-300
	Utilities. Exp.						-300
h.	Sold supplies for cash	+150	–	-150	–	–	–
i.	Purchased land	-3000	–	–	+8000	+5000	–
j	withdrawals	-1500	–	–	–	–	-1500
	Total	4700	3000	350	20000	5500	22550
			28050			28050	

Math-3

Shanta's income statement

For the month/year ended on April 2019

Description	Amount	Total
Revenues:-		
Service revenues on cash	800	3300
Service revenues on account	2500	
(-) Expe:-		
Rent Exp	400	1000
Advertising Exp	300	
Utilities Exp	300	
Net profit		2300

Owner's Equity statement

For the month/year ended on April 2019

Description	Amount
Begning capital	6750
+ Investment	15000
+ Net profit	2300
- withdrawal	- 1500
	22550

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Balance Sheet
As on April 2019

Assets	Amount	Total	Liabilities & Owner's equity	Amount	Amount
current assets:-			Liabilities		
Office supplies	350		(Acc. payable)	5500	5500
A/R	3000	8050			
cash	4700		Owener's equity		
Fixed assets	20000	20000	Capital	22550	22550
Land					
Total		28050	Total		28050

Math-4:

Aisha owns and operates an interior design studio called "Aisha Interiors". The following amounts summarize the financial position of her business on March 31, 2012:

Assets = Liabilities + Owner's Equity

	Cash	+ A/R	+ Supplies	+ Land	= A/P	+ Aisha's Capital
Bal.	5,000	4500	500	50,000	5100	54900

During April 2012 the following transaction occurred:

k) Aisha's additional investment \$30,000 in the business.

l) Performed services for a client and received cash of \$8000.

m) Paid off the beginning balance of accounts Payable as final settlement at \$5000

n) Purchased supplies on account \$500

o) Cash collected on account \$4300 and allowed them \$200 as discount.

p) Consulted on the interior design of a major office building and billed the client for the service rendered \$65

q) Recorded the following buisness cash expenses for the month:

i) Office rent — $5000
ii) advertising — $3000
iii) utilities — $7000

r) Sold supplies to another business for $200 cash, cost of which was $220

s) Uncollectible Expense $ $200 an Accounts Receivable

t) Purchased a Land for $5000 cash paid $2000 and the balance being paid using credit card.

u) Salary expense due but not paid $500

v) withdraw cash on $1000 for personal use.

Required:

a) Analyze the effects of the above transactions on the accounting equation

b) Prepare an Income statement, Owner's Equity statement and a Balance Sheet.

Analyze the effects of the above transaction on the accounting equation

Date	Description	Assets				Liabilities & Owner's equity	
		Cash	A/R	Supplies	Land	A/P	Capital
	Beginning balance	5000	4500	500	50,000	5100	54900
K.	Investment	30000					+30000
l.	Service Revenue for cash	+8000					+8000
m.	Paid off account payable	-5000				-5000	
n.	Purchased supplies on account			+500		+500	
o.	Collected on account	4300					-200
P.	Service on account	-	+5500				+5500
q.	office rent advertising utilities	-15000					-5000 -3000 -7000
r	Sold supplies	+200		-220			-20
S	Uncollectible Exp.		-200				-200
t	Purchased land	-2000			+5000	+3000	
u	Salary expense not paid						-500
v	withdrawals	-1000					1000